

Rates Spark: Bear steepening impulses as sentiment holds up

Central bank pricing remains less hawkish compared to the start of the week, with the ECB sending more signals that a hike in April looks unlikely. But longer yields still see increases as risk sentiment continues to recover and primary markets see more activity again



Despite market risk sentiment looking optimistic, long-end rates rose more in the last trading session, resulting in a bear steepening

Recovering risk sentiment opens door to busy primary market

Market risk sentiment is looking more optimistic at the latest developments around the Strait of Hormuz. While oil prices remain elevated, they are holding at least below the US\$100/bbl mark this week. US equities have continued to rise and hit new all-time highs while credit spreads tightened.

Central bank pricing is also looking less hawkish compared to the start of the week. The ECB, for instance, provided more hints that a hike in April is unlikely, though not off the table – some 6bp is what the market is now pricing for the meeting. However, over the past session, we have seen long-end rates rise more, resulting in a bit of bear steepening this time around. Perhaps one should not read too much into it. After all, 10y UST yields had just touched the 4.24% mark again, a level last seen almost a month ago, which itself might argue for a little rebound. And a rise in yields also gels with risk assets performing better.

Relatively speaking, Bund yields do look more elevated at 3%, but given a busier primary market and little other domestic impetus following the general direction, higher looked like the path of least resistance. But the clearest sign that sentiment has also been improving in bond markets was

primary markets.

On the EUR side, there has also been a flurry of syndicated deals this week, kicked off by a (scheduled) dual tranche syndication from the EU on Tuesday, and France followed suit with a new green bond of its own. Yesterday, Italy sold a new 10y benchmark alongside a new 20y linker, and in the broader SSA space, Germany's NRW Bank and Land Berlin were in the market, while Canada's Quebec then mandated a 15y €-bond.

Thursday's events and market view

Following UK GDP and industrial production data in the morning, the main data points to watch will come from the US. The weekly jobless claims release will be watched more closely, with the market anticipating a small drop after initial claims had jumped to the highest since early February. The other indicators to watch are the industrial production for March and the Philadelphia Fed business Index for April. The eurozone will release final CPI data for March.

The focus these days remains on commentary from central bank officials ahead of the IMF spring meetings in Washington. From the ECB, Schnabel, an influential hawk, and Lane, as the bank's chief economist, will likely draw the most attention. Fed speakers scheduled are Williams and Miran, while Taylor will be speaking for the BoE. Note that the ECB will also publish the minutes of the 19 March policy-setting meeting.

Government bond primary markets will see scheduled auctions from Spain and France. Spain sells up to €6bn in 5y to 15y bonds, France up to €13bn in 3y to 7y bonds and another €2bn in inflation-linked bonds.

Author

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial

Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.